

Understanding Cost of Goods Sold (COGS)

This guide is for record-organizing purposes. It helps a user recognize transactions that may belong in a Cost of Goods Sold category before review by a tax professional.

What COGS Generally Means

Cost of Goods Sold generally represents direct costs connected with goods or products that a business sold. It is generally not income. In a simplified business calculation, gross receipts are reduced by applicable Cost of Goods Sold to help determine gross profit.

Examples That May Relate to COGS

- Merchandise purchased for resale.
- Raw materials and components used to produce goods sold.
- Direct production costs that properly belong in inventory or goods sold.
- Certain freight or shipping costs connected with acquiring merchandise or materials.

Usually Different From Ordinary Operating Expenses

- Advertising and marketing.
- Office software and office supplies.
- Rent, utilities, insurance, and professional fees.
- General repairs, travel, and other operating costs that are not direct costs of goods sold.

Important

The proper tax treatment of purchases, inventory, materials, labor, and other costs depends on the type of business and the facts. This organizer does not determine whether an item belongs in COGS or whether it is deductible. Use the Tax checkbox only after review.